

Clearly, the burden of proof is on us. We gave you some of our reasoning already. Here is more:

Bill Gates and Warren Buffett are certainly geniuses. At least at making money. Wouldn't it be asking a little much to expect them to be geniuses at getting rid of it, too? They know what it takes to make money—good ideas, properly managed, properly funded. It's not easy. But if you do it right and get lucky, you add to the world's wealth. More people get more of what they want. That's what adding to the world's wealth means.

If you are good at adding to the world's wealth, you will accumulate a huge pile of capital as a result. This capital represents resources that could be put to use to add even more to the world's wealth.

So what are you doing when you give them away? Resources pass from the hands of people who add to the world's wealth to the hands of people who . . . who what? Nobody really knows. Presumably, they are people who mean well. Presumably, they do a good job at what they do.

But if they were adding to the world's wealth, they wouldn't need a handout. So, by definition, they are not adding to the world's wealth. Are they adding to the world's well-being? Who knows? Their output is not priced and not subject to the rules of a market economy. They are operating like the government, whose output may or may not be useful or beneficial, but almost certainly lowers the world's wealth, rather than increases it.

VANITY

Says our friend Doug Casey: “The essence of a charity transaction is to transfer wealth from those who have shown they can create it to those who have not shown they can.”³

But the fact that something is ineffective doesn't make it unpopular. People like giving away money. It makes them feel good. In order to fully understand how “good” it makes them feel, you have to understand what you're dealing with.

Giving money away is the spirit, not the practical doer, at work. It may not make sense from a purely economic point of view; that is, the net effect is probably to depress output. But it may increase human happiness. A man